

understandable as a dry cleaner's. Also, in 1997 it was reasonably priced relative to its prospects, and it was well-financed. But I wasn't flexible enough to see opportunity in this new guise. Had I bothered to do the research, I would have seen the huge market for this sort of shopping and Amazon's ability to capture it. Alas, I didn't. Meanwhile, Amazon was up tenfold (a "tenbagger" in Lynch parlance) in 1998 alone.

Amazon is one of at least five hundred "dot.com" stocks that have performed miraculous levitations. In high-tech and dot.com circles, it's not unusual for a newly launched public offering to rise tenfold in less time than it takes Stephen King to pen another thriller. These investments don't require much patience. Before the Internet came along, companies had to grow their way into the billion-dollar ranks. Now they can reach billion-dollar valuations before they've turned a profit or, in some cases, before they've collected any revenues. Mr. Market (a fictional proxy for stocks in general) doesn't wait for a newborn Website to prove itself in real life the way, say, Wal-Mart or Home Depot proved themselves in the last generation.

With today's hot Internet stocks, fundamentals are old hat. (The term *old hat* is old hat in itself, proving that I'm old hat for bringing it up.) The mere appearance of a dot and a com, and the exciting concept behind it, is enough to convince today's optimists to pay for a decade's worth of growth and prosperity in advance. Subsequent buyers pay escalating prices based on the futuristic "fundamentals," which improve with each uptick.

Judging by the Maserati sales in Silicon Valley, dot.coms are highly rewarding to entrepreneurs who take them public and early buyers who make timely exits. But I'd like to pass along a word of caution to people who buy shares after they've levitated. Does it make sense to invest in a dot.com at prices that already reflect years of rapid earnings growth that may or may not occur? By the way I pose this, you've already figured out my answer is "no." With many of these new issues, the stock price doubles, triples, or even quadruples on the first day of trading. Unless your broker can stake your claim to a meaningful allotment of shares at the initial offering price—an unlikely prospect since Internet offerings are more coveted, even, than Super Bowl tickets—you'll miss a big percent of the gain. Perhaps you'll miss the entire gain, since some dot.coms hit high prices on the first few trading sessions that they never reach again.

If you feel left out of the dot.com jubilee, remind yourself that very few dot.com investors benefit from the full ride. It's misleading to measure the progress of these stocks from the offering price that most buyers can't get. Those who are allotted shares are lucky to receive more than a handful.

In spite of the instant gratification that surrounds me, I've continued to